INTERNAL · DRAFT · NEGOTIATING TERMS · CEO / Board Eyes Only

EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

October 9, 2026 · Exos Aerospace Systems & Technologies, Inc.

1. What SSLC Holders Receive

Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close ~Q1 FY27
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
SSLC debts paid at face	$500K	$500K	$500K	Close; ~$500K TBV in QB
Working-capital bridge	$500K	$500K	$500K	Close
Exos equity — 1.0% EAI units (Rule 504, at 409A ~$170M)	$1,697K	$1,697K	$1,697K	EAI units issued as part of Exos's Rule 504 offering, at the 409A value; issued at financing close
Subtotal: funding at close	**$6,057K**	**$6,057K**	**$6,057K**	
Tank earn-out (5 yrs, 5%/yr, cap $300K/yr)	$750K	$1,250K	$1,500K	FY27–FY31; low 3%/base 5%/high 7% × IM rev; $300K/yr cap
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula/OTV production contract signed	—	$200K	$200K	Pays at contract execution (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: BLK3 tank qualification complete	—	—	$200K	Pays at Exos BLK3 tank cert (est. FY27–FY28)
Exos stock earn-out at listing (on top of 1.0% EAI up-front)	$0	$424K	$848K	Post-RTO ~FY28; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A ($170M): $0/$424K/$848K. Total Exos equity: 1.0%/1.25%/1.5%.
TOTAL OFFER VALUE (5-yr)	**$7,007K**	**$8,582K**	**$10,157K**	**FY27–FY31**
Memo: Exos stock if held to FY31 (not additive to total above)	*$5.7M*	*$8.5M*	*$11.4M*	*16× EV/EBITDA; ~30% dilution; total stake 1.0/1.25/1.5% (EAI+earn-out); mgmt assumption*

Why this structure: SSLC holders receive real Exos equity at close (1.0% EAI units, 409A-valued ~$1.7M, issued as part of Exos's Rule 504 offering) — not only contingent upside. It aligns them with Exos immediately. The earn-out stock stays 0.0–0.5%, so total equity is 1.0–1.5%.

Chart: SSLC_OptionB_Total_Compensation_5yr_2026-10-07.png · Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'Total Compensation' sheet · IM program continuity: Exos-SSLC continues the Intuitive Machines contract with no delivery interruption.

3. Key Terms

Term	Detail
Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger
Total commitment	$5,057,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + ~$1.70M EAI equity at 409A, Rule 504)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts assumed	Paid at face at close (est. ~$500K; verify QuickBooks)
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

504 cap: ~$1.7M counts toward the Rule 504 $10M rolling 12-month cap; confirm remaining capacity. Rule 504 is U.S.-only; EAI units in the Japan round are Reg S — the two must remain distinct. See model → 'EAI Lockup & Liquidity' sheet for full detail.

4. EAI Unit Lockup & Liquidity

Restricted securities — Rule 504 Reg D, restrictive legend; not freely tradeable at issuance. Same lockup as Exos principals. Rule 504 ref: https://www.sec.gov/resources-small-businesses/exempt-offerings/exemption-limited-offerings-not-exceeding-10-million-rule-504-regulation-d

- **Rule 144 resale.** Holding period 6 months (reporting issuer) or 1 year (non-reporting). Exos is currently non-reporting; 6-month path opens only after RTO. 17 CFR 230.144(d): https://www.ecfr.gov/current/title-17/chapter-II/part-230/section-230.144
- **RTO structure — preferred at close.** At RTO close, founders/legacy holders receive unregistered non-voting non-convertible preferred (avoids NASDAQ Rule 5635). Converts to common + becomes liquid only after: (i) shareholder vote (proxy ~30 days post-close) and (ii) effective resale registration (S-1/S-3). EAI units follow this same path. [Board Brief 2026-09-04:16; Board Questions 2026-09-08:36,44]

Milestone	Target / Status
Board acceptance	D+0 — units committed; not yet issued
Financing close — units issued	Targeted Q1 FY27; 1-yr Rule 144 clock starts
Targeted RTO close	~6 months post-financing (targeted, not assured)
Conversion vote + resale reg. effective	~30–90 days post-RTO; preferred → common
Rule 144 eligibility	6-mo (after reporting); 1-yr if non-reporting at issuance
ALL DATES	Targeted, not assured. RTO may not close.

5. Projected Post-RTO Value (Projection — Not a Promise)

Forward-looking projection — management assumptions (RTO completion, listing valuation, ~30% dilution). Not a guarantee; actual results may differ. RTO may not close. SEC Rule 10b-5, 17 CFR 240.10b-5 (https://www.ecfr.gov/current/title-17/chapter-II/part-240/section-240.10b-5) antifraud rules apply. 409A issuance value: ~$1.70M. Up-front 1.0% EAI only; earn-out column is additional at listing.

Scenario	RTO MEV	1.0% pre-dil	1.0% post-dil (~30% dil)	+ earn-out at listing
Low	$200M	$2.00M	$1.40M	$0 (0.0%)
Base	$250M	$2.50M	$1.75M	+$424K (0.25%)
High	$300M	$3.00M	$2.10M	+$848K (0.50%)

Detail in model: drafts/EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without comparison: sheet 'With vs Without Exos Capital' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

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